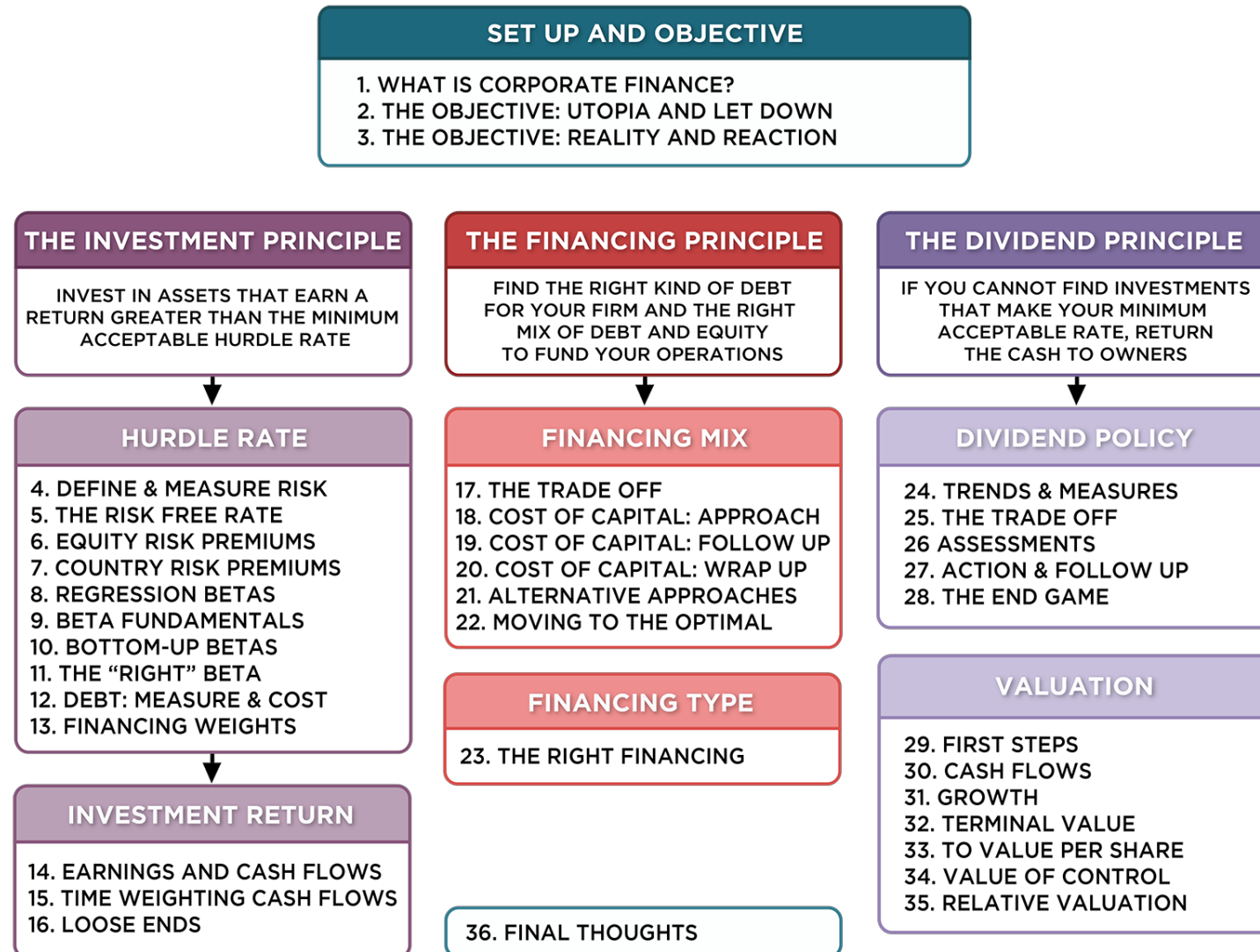


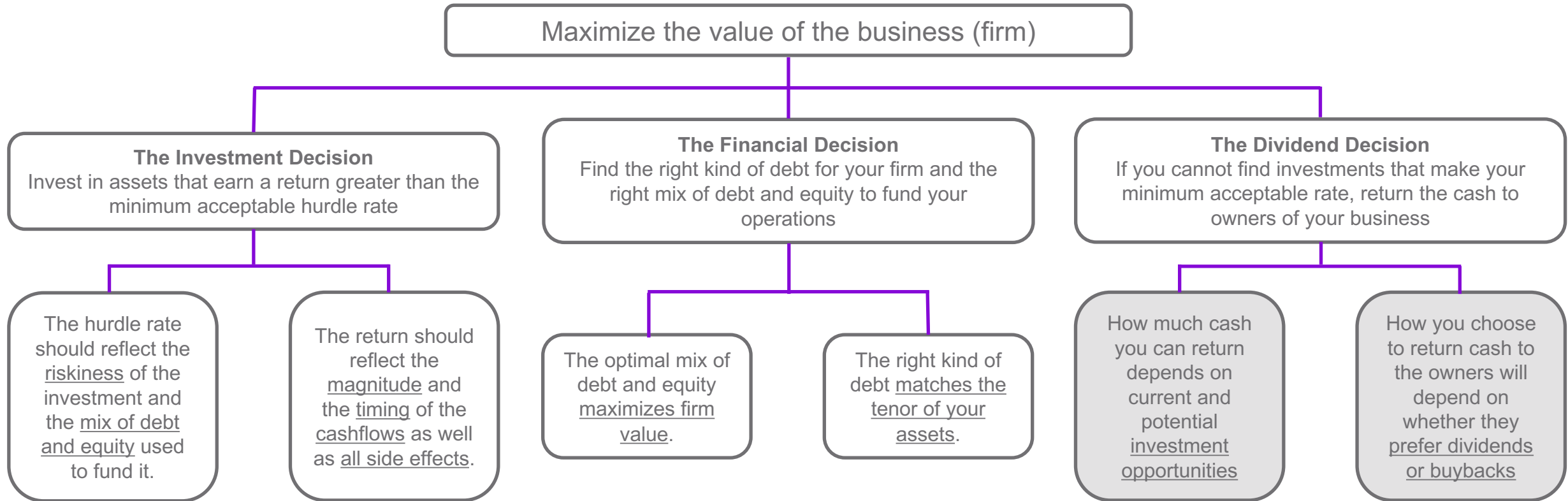
SESSION 24: TRENDS & MEASURES

Dividends are sticky.

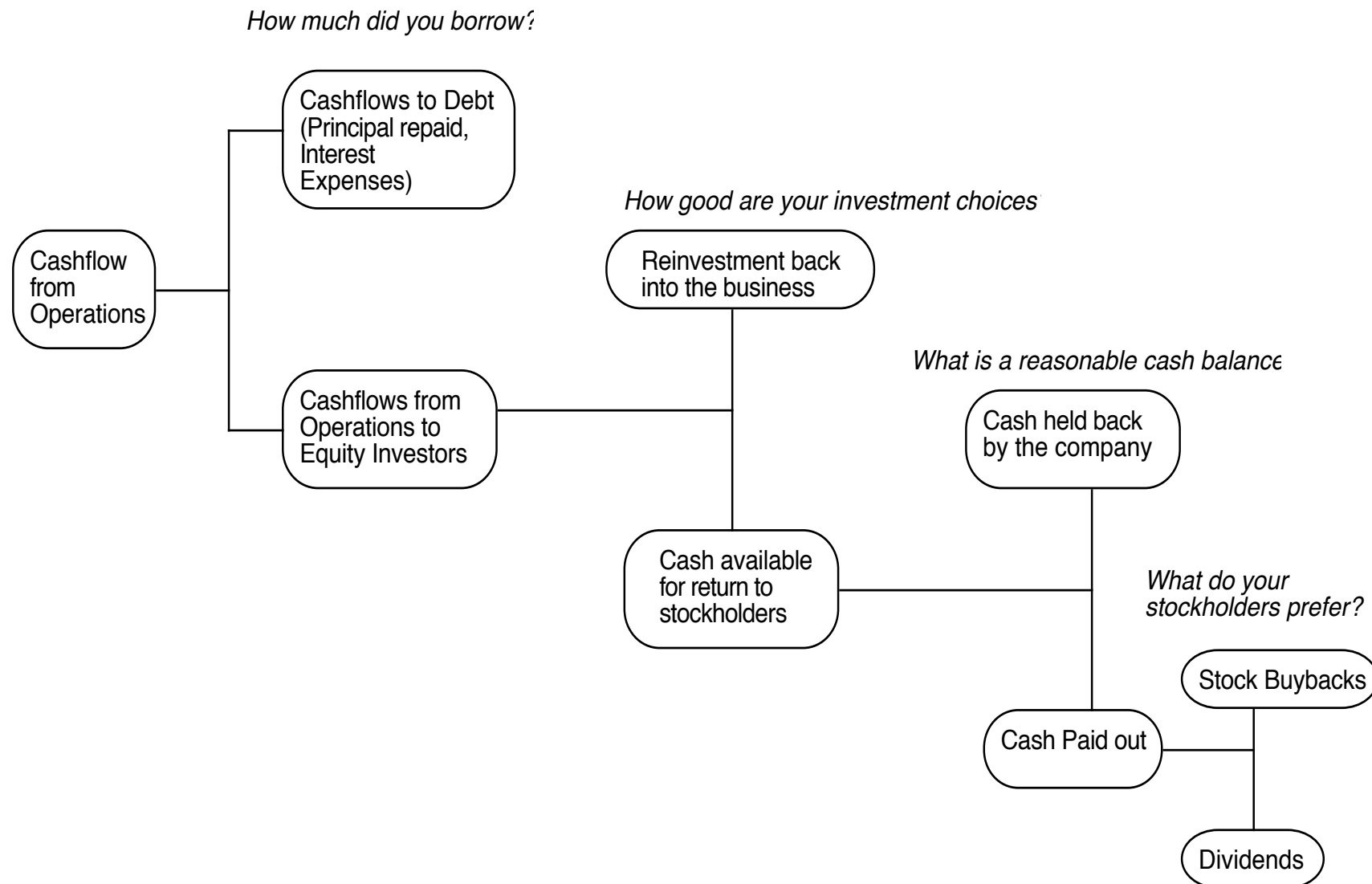
SESSION 24: TRENDS & MEASURES



FIRST PRINCIPLES

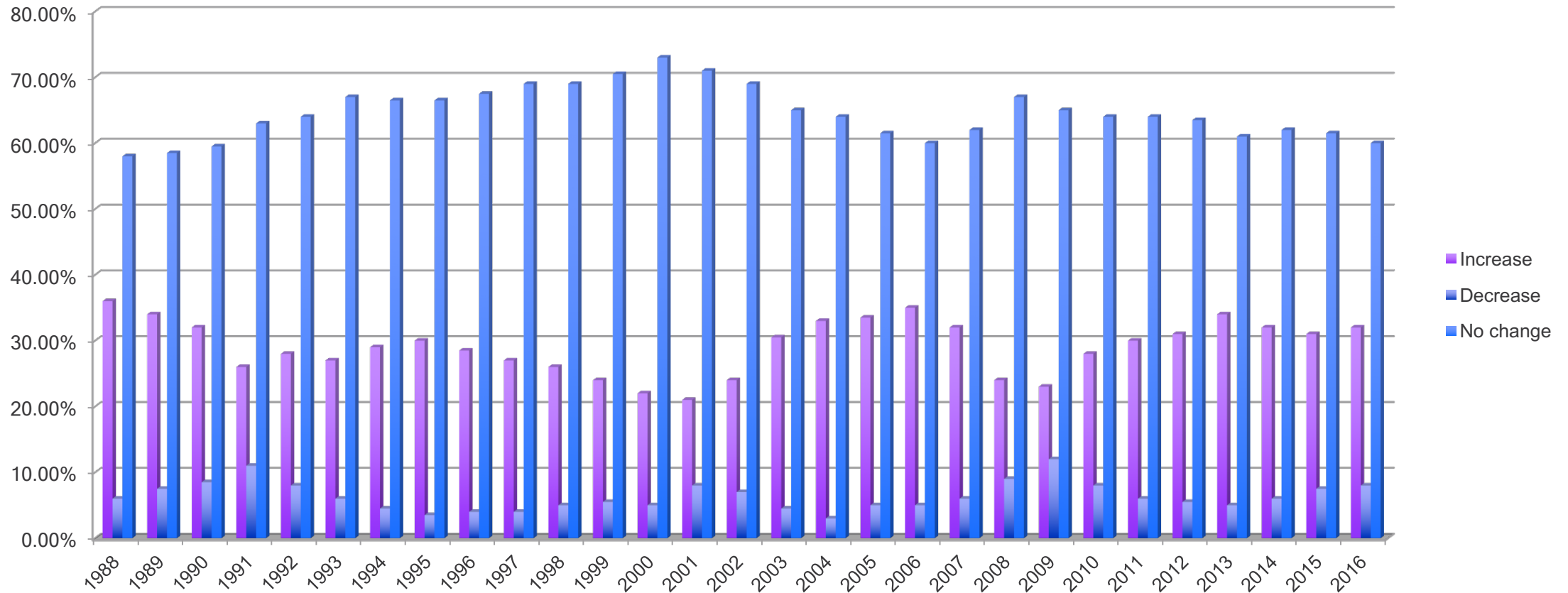


STEPS TO THE DIVIDEND DECISION . . .

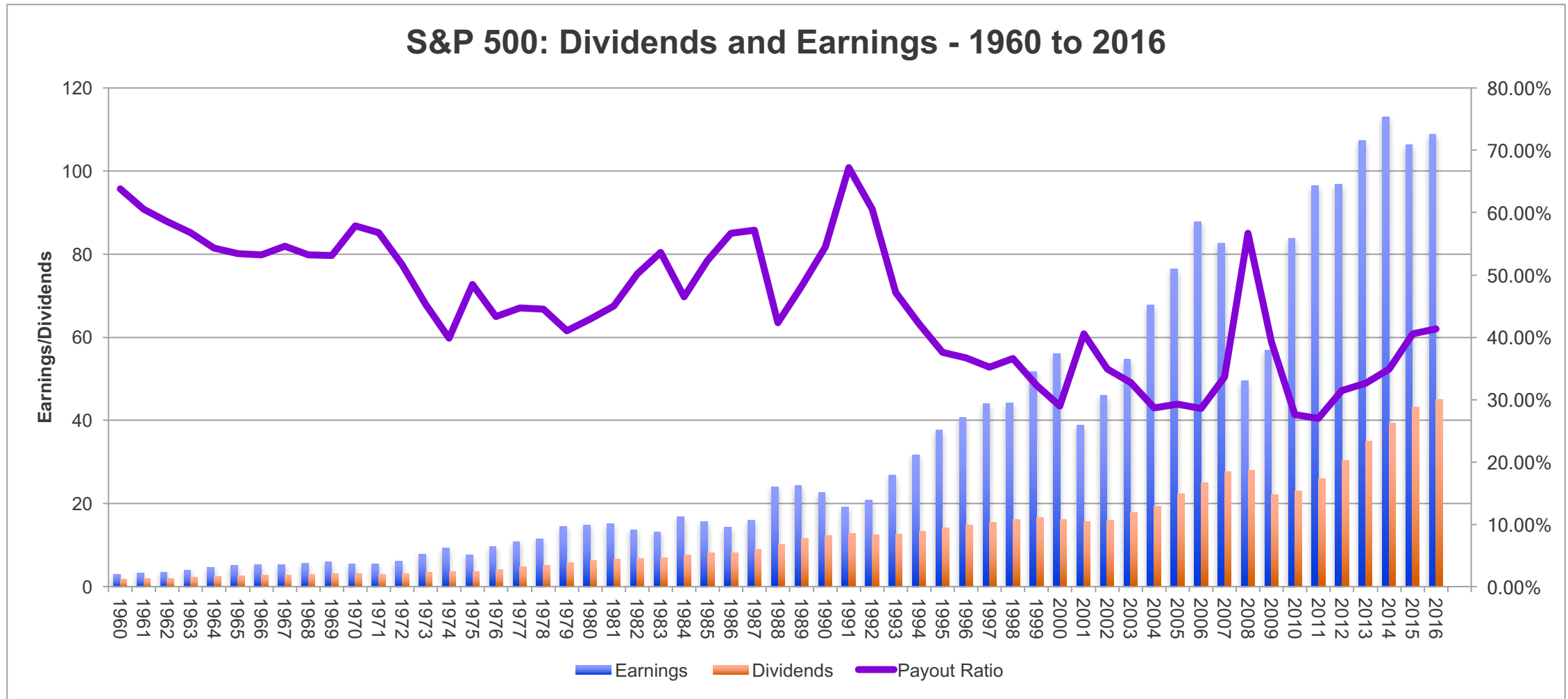


I. DIVIDENDS ARE STICKY

Dividend Changes at US companies

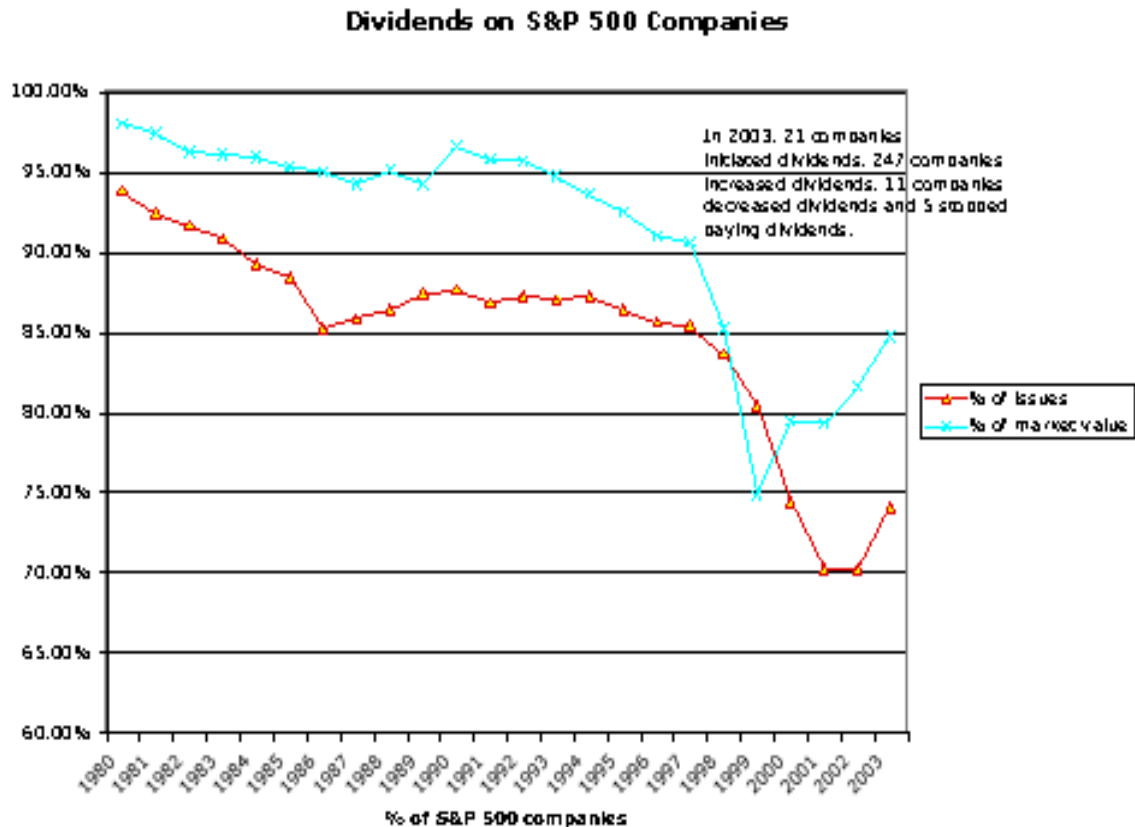


II. DIVIDENDS TEND TO FOLLOW EARNINGS



III. DIVIDENDS ARE AFFECTED BY TAX LAWS

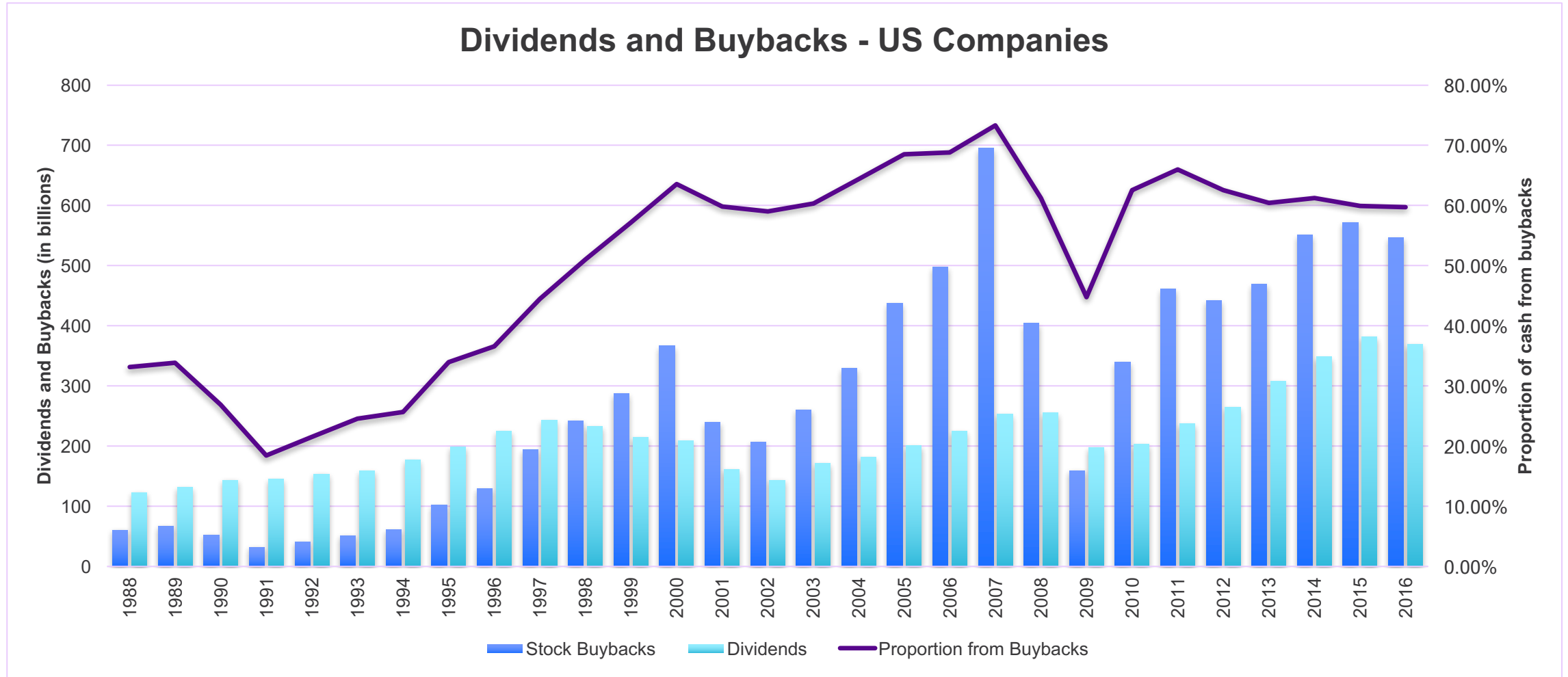
In 2003



In the last quarter of 2012

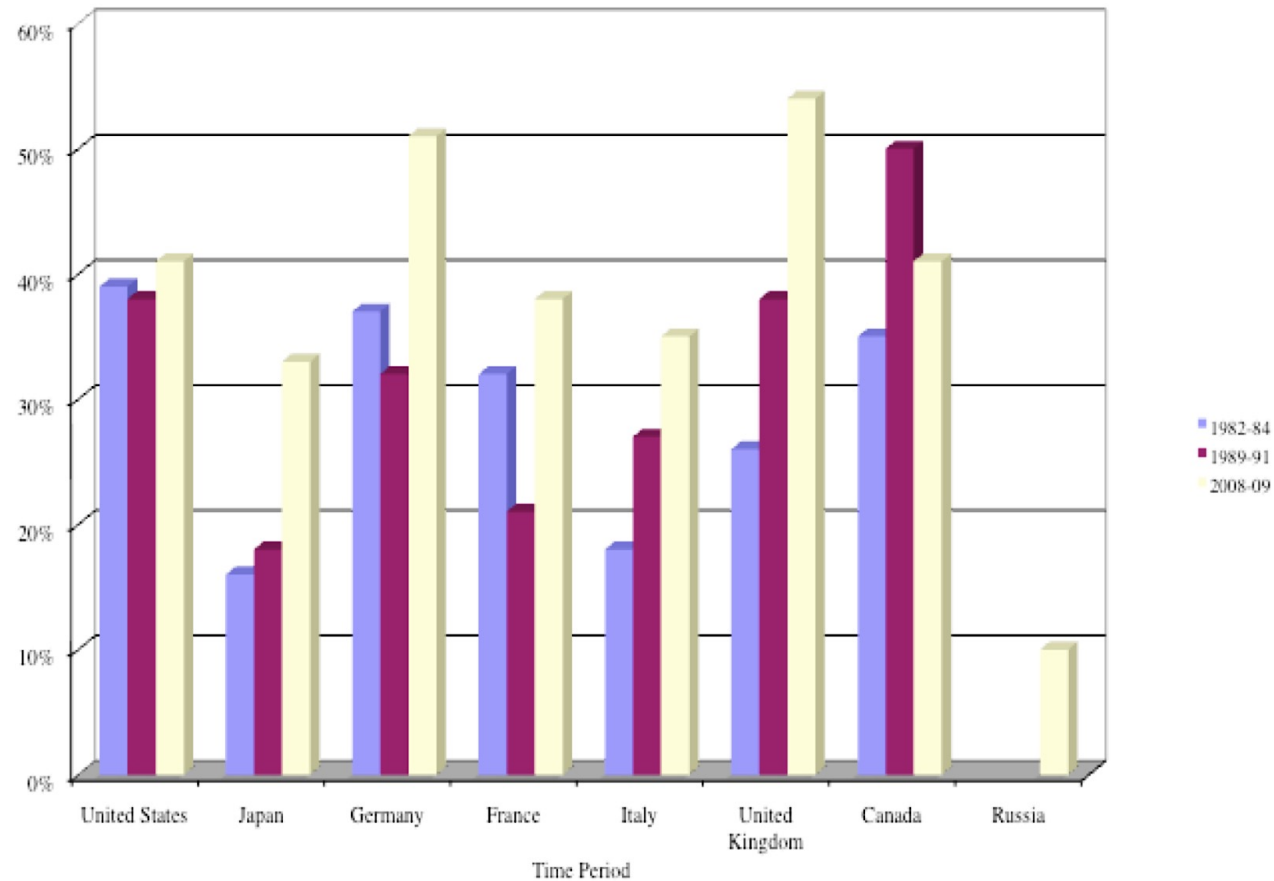
- As the possibility of tax rates reverting to pre-2003 levels rose, 233 companies paid out \$31 billion in dividends.
- Of these companies, 101 had insider holdings in excess of 20% of the outstanding stock.

IV. MORE AND MORE FIRMS ARE BUYING BACK STOCK, RATHER THAN PAY DIVIDENDS



V. AND THERE ARE DIFFERENCES ACROSS COUNTRIES . . .

Figure 10.9: Dividend Payout Ratios - G7 Countries



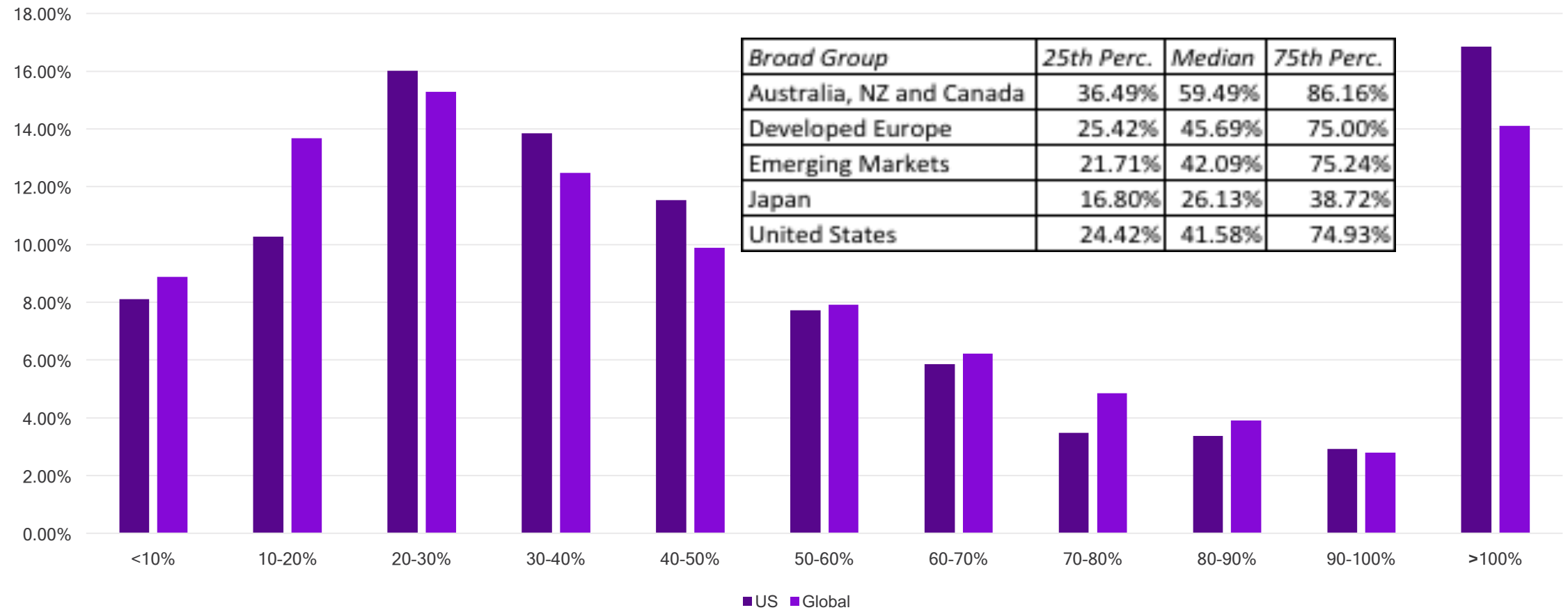
MEASURES OF DIVIDEND POLICY

- Dividend Payout = Dividends / Net Income
 - Measures the percentage of earnings that the company pays in dividends
 - If the net income is negative, the payout ratio cannot be computed
- Dividend Yield = Dividends per share / Stock price
 - Measures the return than an investor can make from dividends alone
 - Becomes part of the expected return on the investment

B DES Page 3
PB Page 41-43

DIVIDEND PAYOUT RATIOS

Payout Ratios at the start of 2017: US and Global Firms

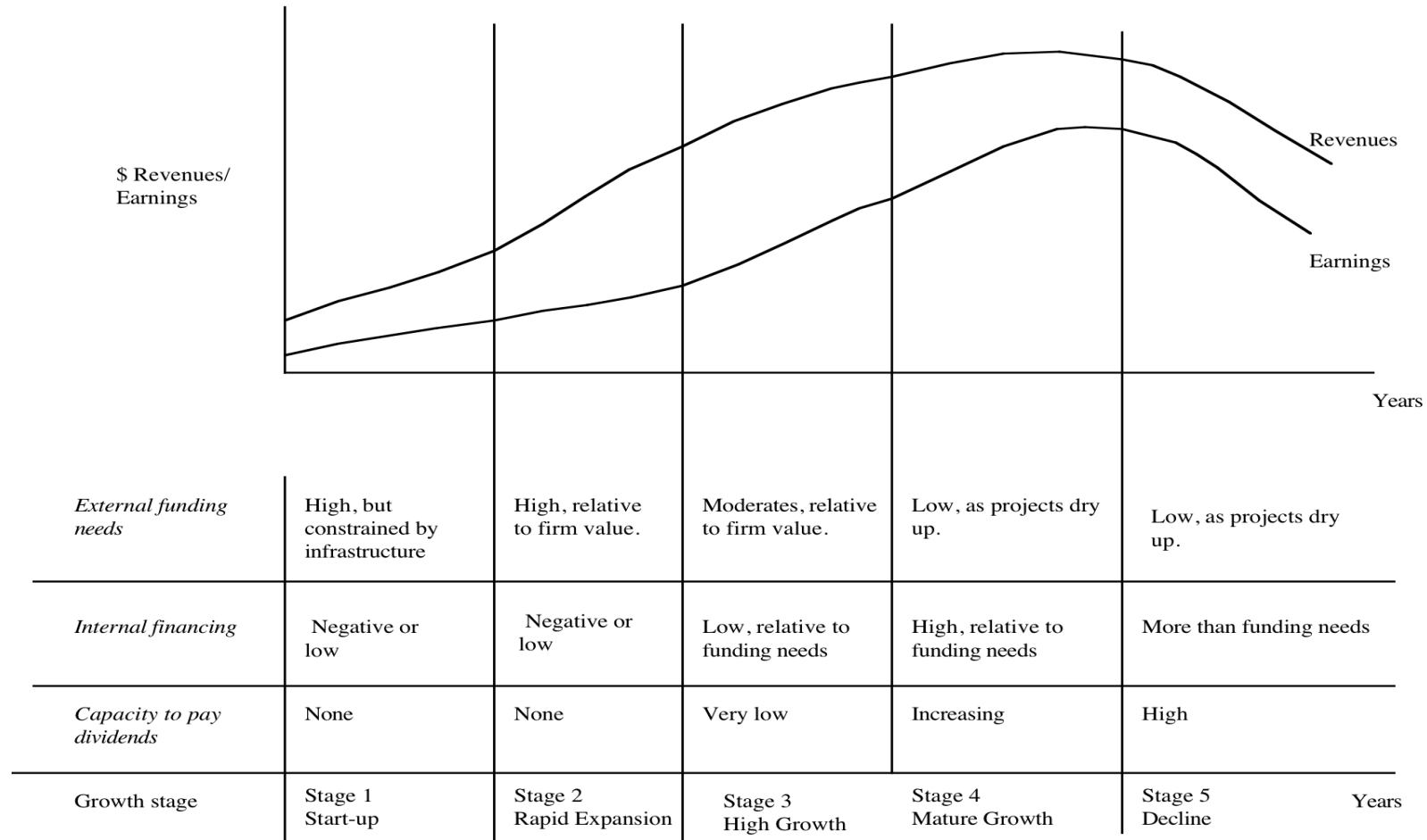


DIVIDEND YIELDS

Dividend Yields at the start of 2017: US & Global

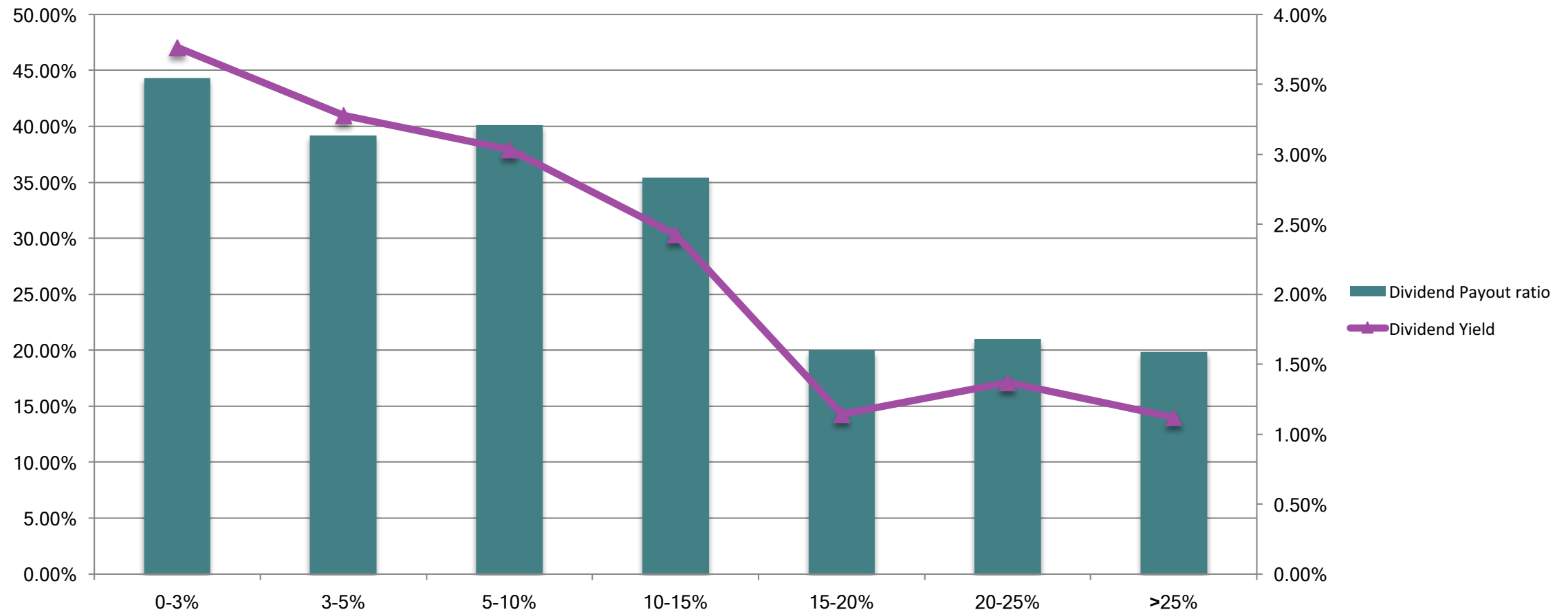


Figure 10.7: Life Cycle Analysis of Dividend Policy



DIVIDEND YIELDS AND PAYOUT RATIOS: GROWTH CLASSES

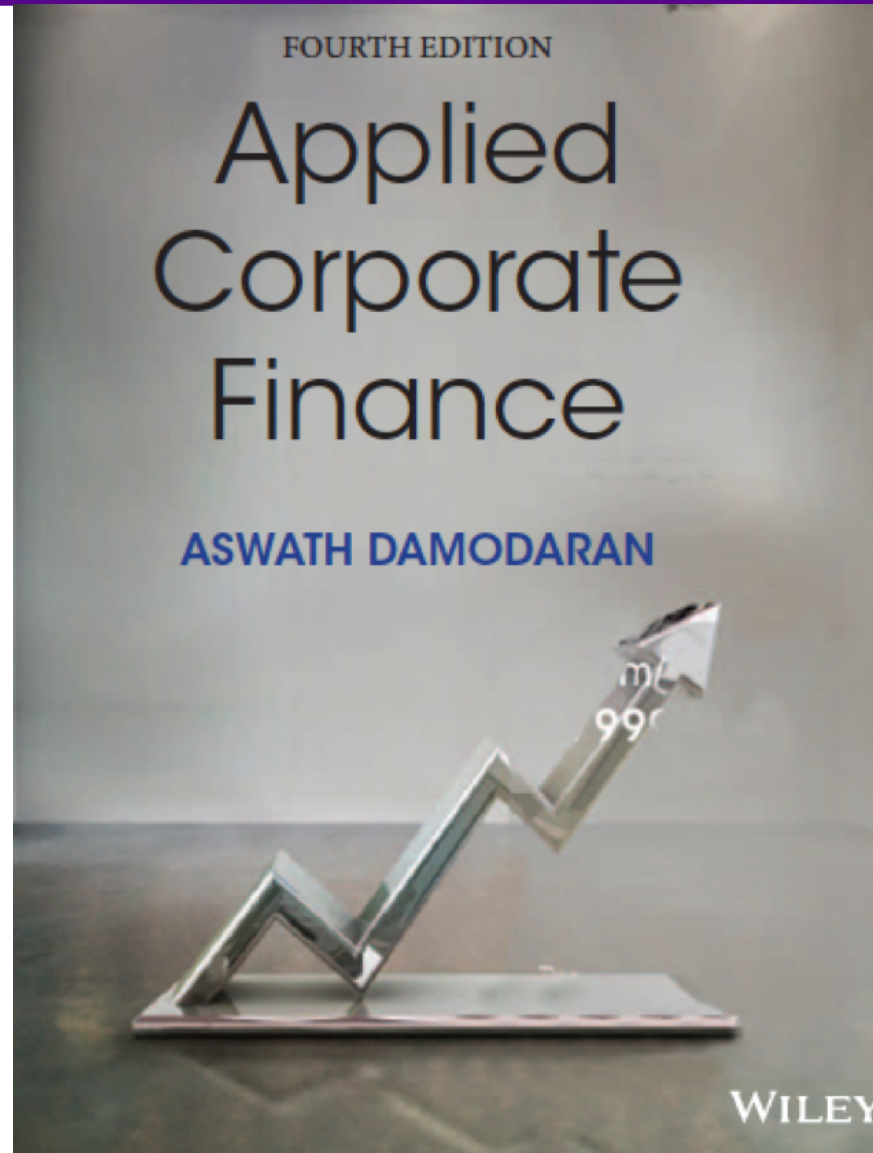
Dividend Yields and Payout Ratios: By Growth Class



DIVIDEND POLICY: DISNEY ET AL.

	Disney	Vale	Tata Motors	Baidu	Deutsche Bank
Dividend Yield - Last 12 months	1.09%	6.56%	1.31%	0.00%	1.96%
Dividend Payout ratio - Last 12 months	21.58%	113.45%	16.09%	0.00%	362.63%
Dividend Yield - 2008-2012	1.17%	4.01%	1.82%	0.00%	3.14%
Dividend Payout - 2008-2012	17.11%	37.69%	15.53%	0.00%	37.39%

Task
Evaluate how much your company has paid out in dividends, relative to earnings, and market cap



Optional:
Read
Chapter 10